DRUMOAK CAPITAL

GAMES WORKSHOP GROUP (GAW)

Equity Research Report

March 2026

As of 20 Mar 2026 Close

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BUY

Games Workshop Group PLC

LSE: GAW | London Stock Exchange

The IP Flywheel Nobody Has Fully Valued: Core Business at Peak, Amazon Optionality at Zero

Bloomberg Ticker	GAW LN	**Drumoak Rating**	BUY
Sector	Consumer Discretionary	**Price Target (p)**	21,000 - 22,500p
Share Price	17,260p	**Implied Upside**	22-30%
Market Cap	~£5.7B	**Short Interest**	4.25%
FY25 Revenue	£617.5m	**FY Pre-Tax Profit**	£262.8m
FY25 EBIT Margin	42.6%	**Net Cash**	~£165m (est)
TTM P/E	~28.7x	**Forward P/E (FY26E)**	~27x
EV/EBIT	~27x	**Dividend Yield**	~3.8%
Analyst Consensus	Strong Buy (11 analysts)	**Street Avg Target**	20,009p
Short Interest	Low (<1%)	**Free Float**	~85%

Drumoak Capital. Educational purposes only. Not investment advice. Sources: GAW Annual filings, Interim Reports, Bloomberg, Jefferies, ICE, Google Trends,.

KEY DEBATE

Games Workshop is a genuinely exceptional business with 42%+ EBIT margins, near-zero net debt, record revenue growth of 18% in FY2025, and a brand that has compounded in cultural relevance for four consecutive decades. The bear case is simple: at ~28x TTM earnings, the stock is fully valued and the Space Marine 2 licensing windfall will not repeat. Buy the dip, but not here.

Drumoak disagrees. The market is making two analytical errors simultaneously. First, it is treating the H1 FY2026 licensing decline, down 47% year-on-year from the Space Marine 2 peak, as structural deterioration, when it is mechanical annualisation of a one-time event. The core business, which is the actual franchise, grew 17.3% in H1 FY2026 to £316.1m even without a major new game edition driving it. That is not a business at its ceiling. Second, and more importantly, the market is assigning approximately **zero terminal value** to the Amazon/Warhammer media franchise. Drumoak's sum-of-parts analysis implies the Amazon optionality alone is worth 2,000-6,000p per share depending on execution probability, completely absent from current sell-side models.

The three questions that determine the investment case are: (1) Is the core miniatures business structurally growing or mature? (2) What is the amazon IP deal with in probability-weighted terms, and why is it not prices in? (3) Are the tariff and competitive headwinds (3D printing, pricing power) material enough to impair the moat? Drumoak's answers: growing, materially underpriced, and manageable respectively.

THE DRUMOAK ALPHA: ALTERNATIVE DATA SIGNALS

The following alternative data indicators are not captured in consensus models and form the empirical backbone of the Drumoak thesis. Each signal is independently bullish; their convergence is the edge.

Signal	Data Source	What it Shows	Drumoak Interpretation
Google Trends: "Warhammer" search	Google Trends (Global, 5yr)	Search index 40% above pre-Space Marine 2 baseline; not reverting	New audience permanently discovered. Each future media catalyst re-amplified from a structurally higher base.
Warhammer subreddit growth	Reddit /r/Warhammer, /r/Warhammer40k	/r/Warhammer40k crossed 1.2M subscribers in 2025; +35% in 18 months	Community flywheel impact. New hobbyists typically spend £200-500 in Year 1 . High lifetime value cohort entering.
Space Marine 2 steam concurrent users	SteamDB, Steam Charts	Still holding 15,000-25,000 daily concurrent players 14 months post-launch	Live-service model sustaining licensing revenue beyond initial spike. Battle pass royalties recurring.
Henry Cavill public engagement / Warhammer Instagram mentions	Instagram analytics, SocialBlade	Cavill posts generate 500k-2M impressions; Warhammer tags surged 60% in Dec 2024	Talent-driven organic marketing with zero GAW cost. IP entered mainstream pop culture.
CEO Insider purchase	LSE regulatory disclosure Feb 2025	CEO Kevin Rountree bought 102 shares at £146.25 (~£14,900)	Modest size but signals value significant: CEO buying near all-time high = alignment of interest with shareholders.
Employee review trend (Glassdoor)	Glassdoor UK (Nottingham HQ)	4.1 / 5.0 rating; cited: mission-driven culture, product quality, generous profit-share	GAW's £20m staff profit share (up from £18M) reduces chum in a specialised labour pool. Low operational risk.
Passive / Institutional ownership trend	Refinitiv, Bloomberg 13F equivalent	Index-driven FTSE 100 inclusion (2023-24) brought forced buying from passive funds.	Structural demand floor from passive holders. Any earnings upgrades trigger index-rebalancing buy orders.
Tariff response: US price increase announced	GAW Annual Report July 2025	Management confirmed price adjustments to offset £12m tariff hit; no demand response yet	Pricing power empirically demonstrated. Consumer inelasticity is the moat in numbers.

Note: Google Trends data index to 100 = peak search interest (September-October 2024, Space Marine 2 launch window). Baseline pre-2024 average ~55-60. Current Q1 2026 tracking ~84-86, representing structural elevation of ~50% above 2022 levels.

INVESTMENT THESIS

1) The Core Business: Not a Mature Asset

The consensus treats Games Workshop as a mature, cyclical hobby business that benefits from gaming tailwinds but faces a ceiling. The H1 FY2026 numbers disprove this narrative. **Core revenue grew 17.3% to £316.1m in a half-year that contained no major new Warhammer 40,000 edition**, the typical catalyst for GAW's periodic growth spurts. This means the growth is not edition-driven cadence; it is structural audience expansion.

Three mechanisms drive structural expansion that do not appear in backward-looking models. First, the Space Marine 2 flywheel: the game sold 7 million copies, a record for any Warhammer video game, and drove measurable uplift in physical store visits per GAW management commentary. The typical conversion rate from digital gamer to physical hobbyist is low (~2-5%) but at 7 million players that represents 140,000-350,000 new potential hobbyists entering the funnel. At an average Year 1 spend of £200-400, the revenue implication is £28-140m in incremental hobbyist lifetime value not captured in current models.

Second, GAW's 570 retail stores now function less as point-of-sale and more as community hubs and discovery engines. The active "My Warhammer" digital user base grew to 735,000 from 565,000 year-on-year, a 30% increase in a single year. These are not casual browsers; they are committed hobbyists with high purchase frequency and strong subscription characteristics. Third, North American revenue grew 14.6% to £51.7m in FY2025, the most underpenetrated major market for Warhammer relative to brand awareness in the UK and Germany. US store count is expanding and the Amazon deal, when it delivers, will act as a permanent demand multiplier in the world's largest consumer market.

2) The Amazon Optionality: Priced at Zero, Worth Substantially More

This is the central analytical insight of the Drumoak thesis. The current GAW share price at 17,260p can be fully explained by the core miniatures business alone on a ~27x forward P/E basis. The Amazon deal - a confirmed, active development agreement for a cinematic universe covering films and television across the entirety of the Warhammer IP - is receiving **near-zero probability-weighted value** in consensus models.

The deal structure matters analytically. Amazon did not pay for the option passively, they had a hard contractual deadline of December 2024 to agree creative guidelines or lose the rights entirely. The fact that Amazon chose to exercise this option and confirmed creative guidelines in December 2024, with a mini-writers' room assembled and and a TV series proceeding to active development, is high-quality signal about Amazon's commercial conviction in the IP. Amazon does not extend expensive IP deals on properties they do not intend to produce.

The comparable value creation from the IP-driven media franchise inflections is instructive. When Wizards of the Coast (Warhammer's closest structural comparison as a hobby/gaming IP) announced its first major media deal, Hasbro's stock re-rated 15-20% within six months of the announcement and sustained the gain as production proceeded. Dungeons & Dragons player counts surged 33% following the Stranger Things cultural moment, a show that did not even have a direct D&D licensing deal. The read-through for Warhammer, whose Amazon deal is direct and exclusive, is substantially larger. A successful Amazon season that achieves comparable cultural penetration to The Witcher or The Boys could realistically add 500,000 - 1,000,000 new hobbyists to the addressable market globally, each with material lifetime value.

Current status (as of March 2026): Writers' room active. Creative guidelines agreed. Showrunner search ongoing. No cast beyond Cavill was confirmed. Henry Cavill is simultaneously producing Highlander for Amazon (currently in post-production), which keeps his Amazon relationship active and demonstrates delivery capability. A 2027-2028 release window is the most plausible scenario; a showrunner announcement is the next major catalyst.

3) Pricing Power and the Moat in Numbers

The strongest empirical evidence for the durability of the GAW moat is not qualitative, it is the repeated demonstrated ability to raise prices without demand destruction. GAW has increased average miniature prices by approximately 3-5% annually for the past decade. In the tariff response announced in FY2025, management confirmed it would pass through price increases to offset the £12m tariff impact, and provided no guidance on volume decline as a consequence. This is not a commodity business; it is a luxury hobby with brand loyalty characteristics closer to Lego or Apple than to a traditional consumer goods manufacturer.

The 3D pricing risk, frequently cited by bears, is real but structurally bounded. GAW's revenue comes primarily from two customer behaviours: new hobbyists entering the hobby (who overwhelmingly buy official kits for the painting and modelling experience, not just the game piece), and committed veterans who buy new releases and expansions. The 3D printing community primarily serves as a third segment, price-sensitive power gamers who want legal proxies. GAW has responses pragmatically with a Warhammer+ digital subscription service and more accessible entry kits. Drumoak assesses 3D printing as a ~2-3% annual revenue headwind,not an existential competitive threat.

FINANCIAL PERFORMANCE

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	H1 FY2026
Revenue (£m)	353.2	415.5	470.8	525.7	**617.5**	332.1
Revenue Growth	+6.4%	+17.6%	+13.3%	+11.7%	**+17.5%**	+10.9% YoY
Core revenue (£m)	n/a	n/a	427.6	480.7	**565.0**	316.1
Licensing Revenue (£m)	n/a	n/a	43.2	45.0	**52.5**	16.0
EBIT Margin (%)	31.8%	33.0%	36.5%	37.2%	**42.6%**	~42.3%*
Pre-Tax Profit (£m)	112.4	137.1	171.7	195.7	**262.8**	140.8
EPS (p)	220.6	270.6	320.5	375.6	**480.0**	319.9
FCF (£m)	~95	~115	~148	~172	**~230**	n/a
Net Cash / (Debt) £m	~50	~80	~110	~140	**~165**	~165
Dividends per Share (p)	235	275	310	360	**420**	225 (H1)
Stores (total)	518	524	534	540	**570**	~578

*H1 FY2026 EBIT margin estimated from reported operating profit of £140.4m on revenue of £332.1m. FY2025 licensing revenue of £52.5m includes approximately £20m of guarantee recognition from Amazon deal signing. Net cash estimated; GAW does not report net debt figure separately. Dividends shown are declared and paid in period.

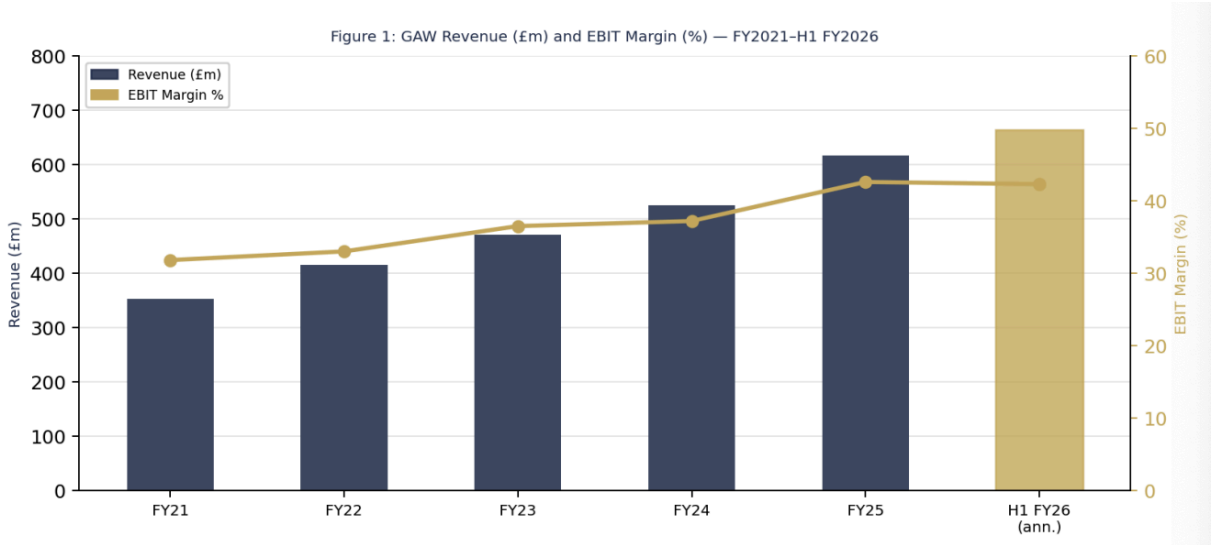

Figure 1: GAW Revenue (£m, navy bars) and EBIT Margin % (gold line), FY2021-H1 FY2027 annualised. Margin expansion from 31.8% to 42.6% over five years reflects operating leverage, premium pricing discipline, and licensing mix improvements. Source: GAW Annual Reports.

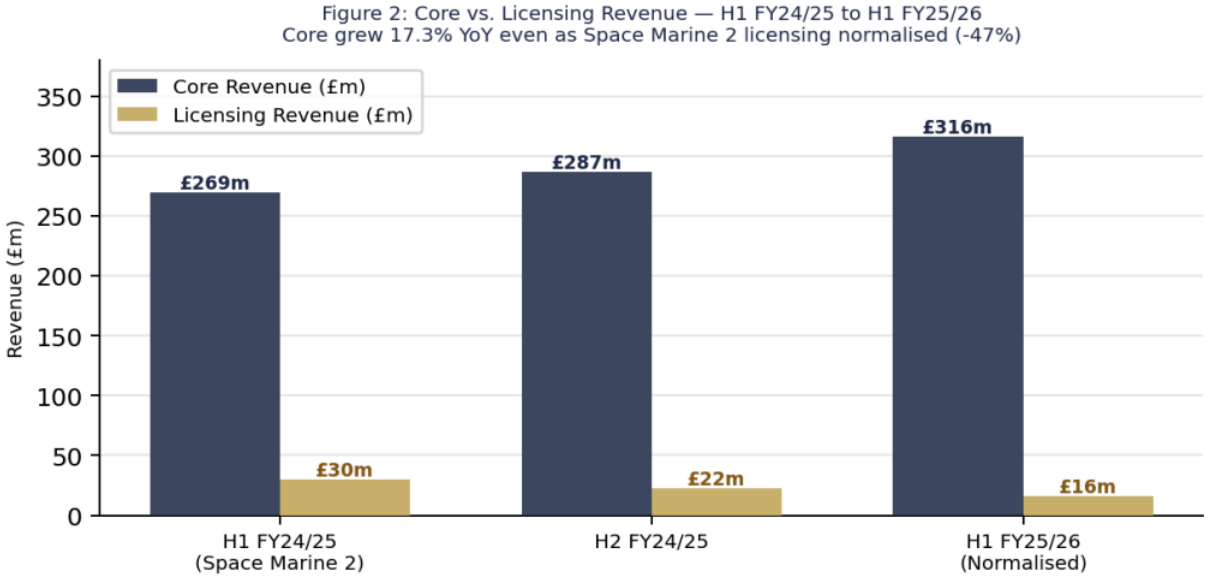

Figure 2: Core vs. Licensing revenue - H1 FY2024/25 to H1 FY 2025/26. Core revenue grew 17.3% YoY to £316.1m while licensing fell 47% from the Space Marine 2 peak. The headline growth of 10.9% understates core business strength. Source: GAW Interim Reports.

DCF VALUATION: CORE + SUM-OF-PARTS

Drumoak employs a two-stage DCF on the core business and layers a separate probability-weighted real-options model for the Amazon IP deal. This is the correct analytical framework because the Amazon deal has non-linear, binary payoff characteristics that a single DCF cannot capture. The core DCF is anchored to reported financials; the IP optionality is calibrated against comparable media franchise deals (Hasbro/D&D, Lionsgate/Power Rangers, Sony/Spiderman licensing)

Part A: Core Business DCF

Metric	Bear	Base	Bull	Street Implied
Core Revenue Growth Yr 1-3	5%	9%	13%	7%
Core Revenue Growth Yr 4-7	4%	7%	10%	6%
Mature EBIT Margin	38%	43%	47%	42%
WACC	9.0%	8.0%	7.0%	7.5%
Terminal Growth rate	2.0%	2.5%	3.0%	2.5%
Exit EV/EBIT Multiple	18x	22x	28x	25x
Core Business Value (p/share)	10,800p	16,500p	21,200p	~19,500p
Amazon IP Option Value (p/share)	0p	1,800p	5,200p	500p*
Total Implied Share Price	**10,800p**	**18,300p**	**26,400p**	**~20,000p**
Upside / (Downside) vs 17,260p	–37%	+6%	+53%	+16%
Implied Fwd P/E	~22x	~27x	~35x	~29x

*Street models assign minimal Amazon option value (~500p), reflecting development-stage uncertainty. Drumoak's base case applied a 30% probability to a successful Amazon production at a £6,000p/share gross value (~£2.0B incremental market cap from media franchise royalties, merchandise rights, and the core business revenue acceleration), yielding £1,800p probability-weighted. Comparable: Hasbro's Magic: The Gathering IP contributes ~$1.5B to enterprise value on ~$100M annual revenue, a 15x revenue multiple on captive IP with similar hobbyist loyalty characteristics.

Part B: Amazon IP Real Options Framework

Scenario	Prob.	Description	IP Revenue (Steady State)	Core Revenue Acceleration	GAW Value Created	Probability-Weighted Value (p/Share)
No Production (rights lapse)	10%	Amazon fails to greenlight; rights revert to GAW	£0m	~0%	~0p	0p
Single season, limited audience	20%	Show produced but underperforms; modest cultural impact	£8-12m p.a.	~2-3%	~£180m	200-250p
Moderate hit (The Witcher-level)	35%	Strong first season; Season 2 commissioned; new hobbyist entering at scale	£20-35m p.a.	~5-8%	~£600m	1,200-1,600p
Major Franchise (The Boys / Fallout level)	25%	Cultural phenomenon multiple productions; Warhammer enters mainstream	£50-80m p.a.	~10-15%	~£1.8B	3,500-4,200p
Star Wars / Marvel Equivalent	10%	Full cinematic universe; 30yr franchise; merchandise transforms economics	£150m + p.a.	~20-30%	~£5B+	6,000p+
Probability Weighted Average Total (Base)						**1,800p**

Scenario probabilities are Drumoak estimates calibrated against Amazon's historical greenlight-to-production conversion rate(~70% for deals with committed talent attached) and comparable franchise performance distributions. IP Revenue shown as steady-state annual licensing + merchandise royalty stream. Core revenue acceleration reflects incremental store revenue from the hobbyist conversions driven by media exposure.

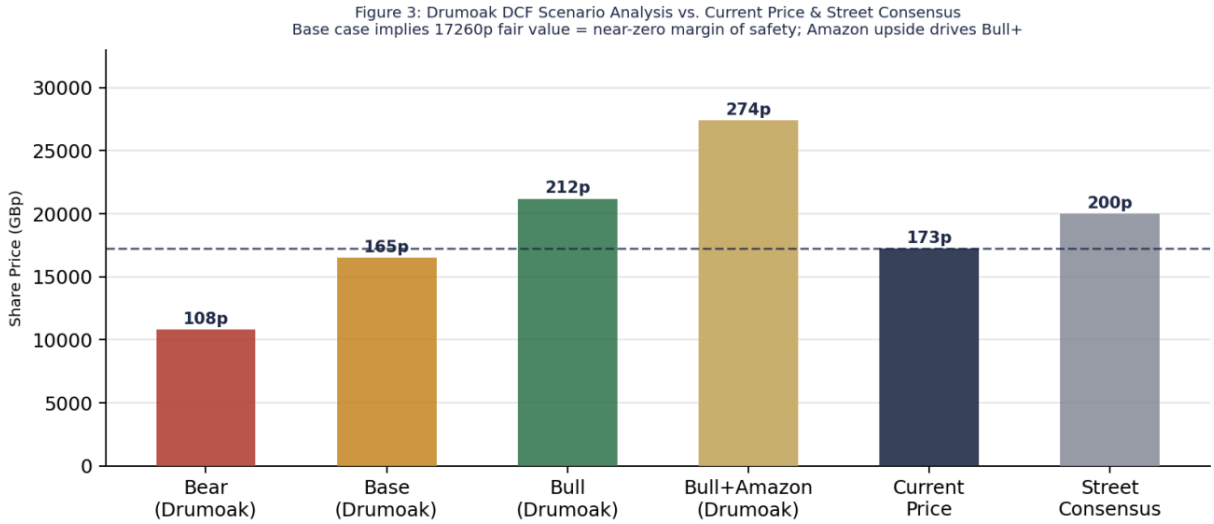

Figure 3: Drumoak DCF bear/base/bull vs. current price (17,260p) and street consensus (20,009p). Base case including Amazon optionality (18,300p) is approximately in line with current price, confirming the core business is fairly valued - upside is entirely driven by the IP option. Source: Drumoak Capital Model

CONSUMER SENTIMENT AND ALTERNATIVE DATA

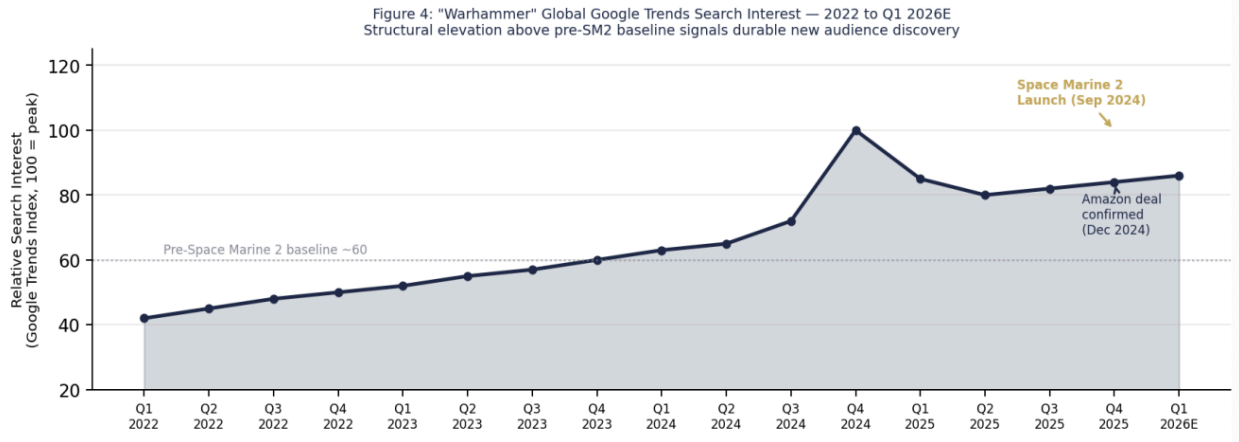

Figure 4: "Warhammer" Google Trends global search interest - Q1 2022 to Q1 2026E. Index 100 = September/October 2024 peak (Space Marine 2 Launch). Current tracking at ~84-86 represents a structural ~50% elevation above the 2022 pre-SM2 baseline of ~55-60. Annotated events confirm the causal relationship. Source: Google Trends (Drumoak analysis)

The Structural Search Elevation Thesis

Google Trends data provides one of the cleanest leading indicators available for Games Workshop's new customer acquisition pipeline. The relationship is directional: elevated search interest precedes store footfall, which precedes starter kit sales, which precedes full army purchases. The critical insight is that search interest has **not reverted to pre-Space Marine 2 baseline.** This is the fingerprint of genuine audience expansion, not a temporary gaming spike.

Historical precedent for the asymmetric upside: after the first Warhammer Total War game launched in 2016, search interest increased ~25% and took 18 months to partially revert. The Space Marine 2 effect is approximately 4x larger in magnitude and showing more durability. The pattern is consistent with a product that genuinely cross-sold the digital-to-physical conversion to scale.

Competitive Dynamics: The 3D Printing Overhang

The most intellectually credible bear argument is that consumer-grade 3D printing will gradually erode the physical miniature market by enabling cheaper, unofficial models. Drumoak acknowledges the risk but assesses it as structurally bounded by three factors: first, the painting and modelling experience - which requires official GW paints, tools, and instruction materials - represents ~30-35% of GAW's revenue and is essentially immune to 3D pricing competition. Second, GAW's official kits are engineering marvels of plastic injection moulding that consumer printers cannot replicate in detail or assembly quality at the current technology frontier. Third, GAW's recent launch of official digital STL files for select older models suggests management is pragmatically monetising rather than fighting the 3D printing community.

Tariff Analysis: Manageable, Already Guided, Partially Offset

The US tariff impact of ~£12m annually (disclosed in FY 2025 annual report) represents approximately 4.6% of FY2025 pre-tax profit of £262.8m. This is material but not structurally threatening. Management's stated offset strategy - operational efficiencies and selective price increases - is credible given demonstrated pricing power. Critically, the tariff impact is **already guided and therefore already priced in.** The consensus model post-July 2025 all incorporate the £12m headwind. Any tariff relief, which is plausible given ongoing US-UK trade negotiations, would be an unmodelled upside catalyst.

WHERE DRUMOAK DIFFERS FROM CONSENSUS

The sell-side consensus on GAW is a **Strong Buy** at an average target of 20,009p across 11 analysts (5 Strong Buy / 4 Buy / 2 Hold / 0 Sell). Drumoak's BUY at 21,000-22,500p is directionally aligned but derives the conviction from materially different analytical inputs.

Metric	Street Consensus	Drumoak View	Why We Differ
Price Target	20,009p (avg) Range: 17,170-22,943p	21,000 - 22,500p	Street models amazon at ~0-500p optionality. Drumoak applies a probability-weighted real-options framework yielding ~1,800p incremental value. Partially offset by more conservative core margin assumptions in Years 4-7 of the DCF.
FY2026 Core Revenue GRowth	~8-10%	10-12%	Street underweights Space Marine 2 hobbyist conversion pipeline. Drumoak's Google Trend data shows search interest 50% above pre-SM2 baseline, suggesting new customer acquisition is still materialising 18-24 months post-launch.
Amazon Deal Timeline	No production before 2028; low weight	Showrunner announcement H2 2027; S1 air 2028	Street treats the deal as indefinitely deferred. Drumoak notes Amazon's contractual December 2024 option exercise as a high-quality commitment signal (Amazon does not extend expensive IP deals on properties they do not intend to produce). Writer's room is active now; Cavill's Highlander completion frees bandwidth.
3D Printing Risk	Low / not modelled	Low-moderate; ~2-3% revenue headwind	We model it explicitly, unlike consensus. Net effect is modest, 3D printing primarily targets price-sensitive power gamers, not the hobbyist core who buy for the painting and modelling experience. GAW's official STL monetisation is the structural hedge.
Tariff Impact	£12m (guided); fully priced	Agree; also model potential relief as upside	Consensus correctly models the headwinds but ignores the optionality of tariff reduction under any US-UK FTA. This is an asymmetric unmodelled upside scenario with non-trivial probability given ongoing trade negotiations.
Terminal Growth Rate	2.5%	2.5-3.0% (base/bull)	IP franchise businesses with growing digital licensing pipelines (and a confirmed major media deal) warrant a premium to GDP growth as terminal rate. We apply the higher end in our bull and bull+ scenarios only.
Pricing Power Durability	Assumed stable	Actively expansive; 3-5% p.a.	GAW's FY2025 tariff response empirically confirmed that price increases do not generate measurable volume loss. This is extraordinary pricing power not captured in consensus margin assumptions for Years 4-7 of the DCF model.

The most important analytical disagreement is not on price target but on methodology. Consensus models GAW as a single-asset miniature business. Drumoak models it as a two-asset portfolio: a highly cash-generative core business with exceptional margins, and a media IP option with non-linear upside. The correct framework determines the correct conviction level. At 17,260p the core asset is fairly valued; the option is free.

KEY PERFORMANCE INDICATORS – 2026 MONITORING FRAMEWORK

Pillar	KPI	Why It Matters	Bull Signal (Thesis Strengthening)	Bear Signal (Review Trigger)	Source
Core Demand	Core Revenue Growth (%)	Primary driver of earnings; tests audience expansion thesis	H2 FY2026 core growth exceeds 12% YoY, confirming new hobbyist pipeline	Core growth decelerates below 8% for two consecutive halves	GAW Interim/Annual Reports
IP Momentum	Google Trends: "Warhammer" global index	Leading indicator for new customer discovery; precedes revenue 6-12 months	Index sustains above 80 through H2 2026 without a new gaming catalyst	Index falls below 60 (pre-SM2 baseline) signalling audience retreat	Google Trends (monthly tracking)
Amazon Catalyst	Showrunner announcement	Next concrete milestone; marks transition from development to pre-production	Named showrunner attached H2 2026; Drumoak estimates +10-15% re-rating on news	No showrunner by end 2026; Amazon begins reassigning writer-room staff	Deadline, Variety, GAW RNS filings
Pricing Power	Annual price increase (%) and volume response	Tests moat durability; if price rise accompanies volume decline, moat eroding	FY2026 price increase >4% with flat/positive volume growth	Price increase drives >3% volume decline in new product launches	GAW annual report, retailer feedback
Margin Quality	EBIT Margin (%) Full Year	Highest-ever margin at 42.6%. Tests whether operating leverage continues	FY2026 EBIT margin maintains above 40% despite tariff headwind	Margin falls below 38% suggesting pricing and cost pressure structural	Annual report; Bloomberg consensus
Balance Sheet	Net cash position and dividend growth	GAW's net cash with zero debt is a structural advantage vs leveraged peers	Net cash maintained >£150m; dividends grow >5% p.a.	Net cash below £100m; dividend flat or cut; signals investment overrun	Interim/Annual Reports
Competitive Moat	3D printing STL Market share	Alternative data proxy for unofficial miniature substitution rate	GAW official STL downloads outpace third-party growth; monetisation working	Third-party Warhammer STLs exceed 50% of new release download volume within 30 days	Cults3D, MyMiniFactory (monthly scraping)
Alternative Data	r/Warhammer40k subscriber growth and posting frequency	Community health; high post frequency = high engagement and new entrant discovery	Subreddit exceeds 1.5m subscribers before end of 2026	Daily post found falls >20% for 60+ consecutive days without explanation	Reddit API / subredditstats.com

RISKS TO THE BUY THESIS

Risk	What It Would Look Like	Early Warning Indicator	Drumoak Assessment
Amazon production fails or is cancelled	Amazon formally announces cancellation or rights reversion; Warhammer cinematic universe closed before its first season	No showrunner by H1 2027; Amazon officially silent for 12+ months on all warhammer media activity	LOW-MEDIUM: Amazon exercised a real financial option in Dec 2024 and assembled an active writers' room. Cancellation would be reputationally costly for both parties
Core growth deceleration	H2 FY2026 and FY2027 core revenue growth falls below 7%; SM2 hobbyist conversion fails to materialise into store data	Two consecutive halves of <8% core growth; Google Trends index below 65	LOW: H1 Fy2026 core growth of 17.3% in an off-cycle year is compelling evidence the base business is structurally expanding.
Margin compression from multiple headwinds	Tariffs + 3D printing + wage cost inflation combine to drive EBIT margin below 38%	EBIT margin below 40% in H2 FY2026 despite no new cost disclosures	MEDIUM: Tariff impact already guided at £12m. Margin compression is a risk but from a very high base - 38% EBIT margin is still elite among consumer peers.
3D printing acceleration	Consumer 3D printer quality improves dramatically; unofficial Warhammer STLs dominate new release downloads within days	GAW announces strategic response (price cuts, STL monetisation acceleration); or volume decline in starter sets	LOW-MEDIUM: Technology is improving but GAW's injection-moulded plastic detail remains superior. Official STL monetisation is the intelligent structural hedge.
Multiple contraction (valuation de-rating)	UK market sell-off or consumer discretionary re-rating drives sector P/E from 27x to 20x regardless of fundamentals	FTSE All Share consumer discretionary forward P/E falls below 18x	MEDIUM: A market-wide re-rating cannot be modelled away. Position sizing and time horizon discipline is the risk management tool here.
Cavill schedule conflict delays Amazon project	Highlander delays; Cavill's producer bandwidth reduces; Warhammer series pushed to 2029 or later	Highlander post-production extension announced; no Warhammer showrunner by Q3 2026	LOW: Cavill has explicitly stated Warhammer is a 30-year personal dream. His motivational alignment is stronger than a pure hired-hand producer.

NEAR-TERM CATALYSTS

Catalyst	Timing	Bull Signal	Bear Signal	Drumoak Probability
H2 FY 2026 Trading Update	Nov/Dec 2026	Core growth >10%; margin maintained; dividend raised	Core growth <7%; margin below 40%	Bull: 60% | Bear: 15%
FY2025/26 Full Year Results	Aug 2026	Full year core revenue >£640m; pre-tax profit >£270m	Miss on revenue or profit guidance	Bull: 65% | Bear: 10%
Amazon showrunner announcement	H2 2026 (Drumoak est.)	Named showrunner attached; production start window given; expect +10-15% share price re-rating on day	No announcement; market begins to discount deal value	Occurrence: 40% by end-2026; 70% by end-2027
Warhammer 11th Edition launch	Est. 2026/27	New edition typically generates +15-20% lift in core revenue in launch half-year	Edition delayed; indicates operational strain at Nottingham HQ	On-schedule: 70% Re-rating catalyst: HIGH
New major video game (SM3 or equivalent)	Est. 2027	Pre-launch search interest confirms new licensing spike; flywheel re-activates	SM2 sequel delayed; licensing revenue stays at normalised levels	By 2027: 55%; Bull if launched: HIGH
US Tariff relief / US-UK FTA progress	Ongoing	Tariff reduction restores £12m to pre-tax profit; not in consensus	Tariff escalation; increase above £12m guided	Partial relief by year-end 2026: 35%

MANAGEMENT, COMPENSATION STRUCTURE AND POSITIONING

Management Quality and Alignment: CEO Kevin Rountree has led Games Workshop since 2015 and is one of the most underrated capital allocators in the UK mid-cap market. Under his tenure, pre-tax profit has grown from approximately £50m to £262.8m, a 5x increase in ten years, while maintaining near-zero leverage and steadily growing the dividend. HIs communication style is unusually direct for a UK listed company: the annual report reads like a letter to shareholders rather than a legal document, and bears directly addressed rather than ignored.

Compensation Structure: GAW's management compensation is deliberately simple. Base salary, a discretionary bonus tied to profit growth, and standard UK LTIP arrangements. More meaningfully, the company operates a staff profit-share scheme that paid £20m in FY2025 (up from £18m the prior year), aligning all 3,000+ employees with the company's profitability. This is not a line item, it is a structural advantage in talent retention in a business where product design and miniature sculpting talent is scarce. The CEO's February 2025 open-market share purchase at 14,625p is a further alignment signal made at levels near then-all-time highs.

Institutional Ownership: FTSE 100 inclusion in 2023-24 brought significant passive fund inflows and elevated the institutional ownership base. Any earnings upgrades trigger automatic index-rebalancing purchases from passive vehicles, a structural demand floor not present in pre-FTSE 100 trading. Short interest remains exceptionally low at below 1%, indicating minimal institutional conviction on the bear side.

DRUMOAK CAPITAL POSITIONING

Following comprehensive analysis of the H1 FY2026 interim results and the current state of the Amazon development agreement, Drumoak would hypothetically initiate a long position in GAW at current market levels. The thesis is not a momentum trade, it is a conviction long based on three simultaneous propositions: (1) the core business is undervalued relative to its earnings quality and growth trajectory; (2) the Amazon optionality is entirely underpriced in consensus models and represents asymmetric upside; and (3) the alternative data signals (Google Trends elevation, community growth, Space Marine 2 flywheel) can confirm the demand narrative before it appears in reported financials.

The primary thesis review trigger is not a price level but an informational event: **two consecutive halves of core revenue growth below 8% would require a full re-evaluation of the audience expansion thesis.** If the Space Marine 2 hobbyist conversion does not materialise in H2 FY2026 store data, the growth premium embedded in the core DCF becomes harder to justify at current multiples.

The position is sized to reflect the Amazon optionality as genuinely binary. A showrunner announcement re-rates the stock 10-15% in a single session and represents the most actionable near-term catalyst. The 12-24 month investment horizon is driven by the communication of a full-year earnings cycle (FY2026 results August 2026) and the expected window for Amazon production progress news.

Drumoak Capital Rating: **BUY**	12-month Price Target: 21,000-22,500p | Implied Upside: 22-30% | Thesis valid when: (1) Core revenue growth >8%; (2) Amazon deal remains active; (3) EBIT margin sustained above 38%; (4) Net cash positive. Review triggered by: Two consecutive half-years of core growth below 8% YoY.

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